New Credit Card Partners: If we are going to produce new credit card type, we are seeking a cooperation partnership company to produce and launch together. How to evaluate the partnership company? If notfrom the financial side, what the factors you will focus to evaluate?

Launching a New Credit Card: Factors to Consider?

1. company: industry, financial stability, reputation
2. customer: how many customer, purchase power, overlap with C1 customers,
3. product: types, reward options, key measurements
4. competitor: the market dynamic, similar products

1. 500,000 active credit card, $79 annual member fee,

Interest revenue would be 15$ per card per month,

Cost for prevent fraud would be $5 per card per month.

What is the profit we will have?

- Revenue Per Card: $79 Annual Fee + $15 x 12 Annual Interest = $259

- Cost Per Card: $5 x 12 Annual Fraud Cost = $60.

- Profit = Revenue - Cost = ($259 - $60) x 500,000 customers = **99.5M**

Rev:
# of card holders * (annual + interest * 12)
500k * (79 + 15 * 12)
= 129.5M

Cost:
# of card holders * (fraud cost * 12)
= 500k * (5 * 12)
= 30M

Profit:
Rev - Cost
129.5M - 30M = **99.5M**

Insight: The estimated profit is 99.5M, which means this is a good business opportunity.

2. Factors to Consider When Partnering with Another Company, Such as Uber

product: reward type: miles, points, or cash back
customer: profile, size, overlap, shop frequency
resources: default payment, ad placement
profitability:
- rev: expected applicant, expected revenue
- cost: commission, operation, discount and coupons

3. 40/year/customer (some discount for 3 rides, but this number should not be important)

The marketing cost is 11.8 million. How many new customers need to be added to achieve the profit asked in Q2?

Target Profit = 99.5M

Revenue Per Card = $259

Cost = $60 Annual Fraud Cost + $40 Annual Customer Cost = $100

Assume increase n million customer

99.5M = ($259 - $100) x (0.5M + n) - 11.8M **n = 0.2M**

target profit = 99.5M

new cust as N

rev:
# of card holders * (annual + interest * 12)
N * (79 + 15 * 12)
= 259N

variable cost:
# of card holders * (fraud cost * 12 + new variable cost)
N * (5 * 12 + 40)
= 100N

fixed cost:
11.8M

rev - variable cost - fixed cost = 99.5M
259N - 100N - 11.8M = 99.5M
159N = 111.3M
N = 700K

new cust: 700k - 500k = 200k

Insights: we should increase the new customer of 200k, which is about 40% increase from the original 500k customers.

4. If 25% of these new customers are gamers (he explained that they only use the partnered discount and stop using the card after that), how many new customers need to be added to achieve the profit in Q2?

set the number of new customer as A
(500K + (1-25%)A) * (79+15*12-5*12) - 40*(500K+A) - 11.8M = 99.5M
A = 291,743 ~ 291k

Clarifying questions:
For the gamers, do we count the fraud cost?

original rev:
# of original customers * (annual + interest * 12)
500K * (79 + 15*12)
original cost:
# of original customers * (promo + fraud * 12)
500k * (40 + 5* 12)

new rev:
# of new customers * (1-20%) * (annual + interest * 12)
0.75A * (79 + 15*12)

new cost:
# of new customers * (1-20%) * (annual + interest * 12)
0.75A * (40 + 5* 12)
# of new customers * 20% * promo
0.25A * 40

original rev + new rev - orginal cost - new cost - gamer cost - fixed cost = 99.5M
500K * (79 + 15*12) + 0.75A * (79 + 15*12) - 500k * (40 + 5* 12) - 0.75A * (40 + 5* 12) - 0.25A * 40 - 11.8M = 99.5M

129.5M + 194.25A - 50M - 75A - 10A - 11.8M = 99.5M
A = 291076

Insight: we have to increase arbout 291k new cardholders.It is about 58% more than the original cardholder, which seems like an anchieveable number.

5. Should we collaborate?

Conclusion: Yes, we can collaborate with the ride-share platform with no promotions.
Supporting: If we collaborate with the ride-share platform with no promos, we can earn the profit of 99.5M.
Risks: free-rirders or gamers
Next step: other promotion strategy

6. "A portion of customers only use the benefits after applying for the card and do not make purchases with the card (gamers). Do you have any suggestions?"

1. product deliversification
2. annual fee charges
3. improve customer service